

D.J. PARIS

NOBODY'S TELLING AGENTS THIS IS **ILLEGAL**. WE WILL.

The referral list you built for your clients might also be a payday for you. Federal law has a name for that.

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A FEDERAL RULE FINES YOU \$10,000 FOR "MY GUY."

RESPA Section 8 bans getting paid to refer your client to a lender, inspector, or title company. Most agents have never read it.

THE LAW DOESN'T BAN THE REFERRAL. IT BANS THE SECRET.

Under RESPA Section 8, enforced at 12 CFR 1024.14, it's illegal to give or accept any fee, kickback, or other thing of value for referring a client to a settlement service provider, a lender, title company, or inspector included. The statute, 12 U.S.C. 2607(d), sets the penalty: a fine up to \$10,000 or a year in prison, and separately, the agent becomes liable to the client for three times whatever changed hands. The rule doesn't stop you from recommending someone good. It stops you from getting paid for the recommendation without saying so.

BEFORE YOU HAND A CLIENT "MY GUY":

- 1 Ask yourself if money moves.**
A referral fee, a marketing co-op, or a stake in the company
- 2 all count. If yes, disclosure comes before the referral, not after.**
- 3 Put any affiliated-business arrangement in writing.**
A verbal mention after the fact does
- 4 not satisfy the rule.**
- 5 Hand over three names, not one.**
An independent option list is the fastest way to prove the
- 6 recommendation was on merit.**
- 7 Say the sentence out loud.**
"I get nothing if you use them. I recommend them because
- 8 they're good." If you can't say it, don't send the referral.**

THE TAKEAWAY

**YOUR CLIENT'S
TRUST IS WORTH
MORE THAN ONE
REFERRAL FEE.**

Disclose it, or don't take it.